

PRINCIPLES OF TAXATION LAW

The Sections in Plain Words

Income-tax Act, 2025. Sections only, no cases. Surendra Mundvadiya, Roll No. 24IP63041, IP61015.

Start here

The law is the **Income-tax Act, 2025**. It replaced the 1961 Act on 1 April 2026. **Only the section numbers changed, not the tax itself.** The first year under it is 2026-27.

The Act asks eight questions, in this order. Hold the order and the sections stop feeling scattered.

1. Is it income? Section 2(49).
2. Whose income? Sections 2(77) and 2(11).
3. For which year? Section 3.
4. Is tax charged? Section 4.
5. How much can India tax? Sections 5, 6, 7 and 9.
6. Is any of it left out? Section 11.
7. Which of the five boxes? Section 13.
8. Work out that box. Sections 15 to 19 for salary, 20 to 25 for house property.

Part One: The words

Section 2(49): income

Income **includes** a long list of receipts. The word includes matters: the list is not complete, so anything an ordinary person would call income is income.

Remember four things. A one-time receipt can be income. You cannot earn income from yourself. Illegal money is still income. **Income must be real; a book entry does not create it.**

Section 2(49)(n) puts winnings from lotteries, crosswords, races, card games, gambling and betting on the list.

Section 2(77): person

Wider than a human being. It covers an individual, a Hindu undivided family, a company, a firm, a group of people whether registered or not, a local authority, and anything the law treats as separate. It need not be formed to make money.

Section 2(11): assessee

Anyone the tax department is dealing with. **You can be an assessee even if you finally owe nothing.**

Section 3: tax year

1 April to 31 March. The old Act had two years, the previous year when you earned and the assessment year when you were taxed. **Now one word covers both.**

Section 2(5): agricultural income

Income that really comes out of farm land in India. Four kinds count: rent from such land; income from farming it, or from a process a farmer normally does to make the crop saleable, or from selling the crop; income from a farm building on or near the land; and income from nursery saplings.

Three tests must all pass: the land is in India, it is used for farming, and the income really comes from that land. Left out: using the land or building for anything else, and selling farmland near a town.

Why it is exempt: under the Constitution only the States may tax farm income.

Section 2(22)(iii): farmland near a town

On sale it is not treated as farmland if it lies within 2 kilometres of a town over 10,000 people, 6 kilometres of a town over 1,00,000, or 8 kilometres of a city over 10,00,000.

Section 2(7): annual value

Means the figure worked out under section 21.

Part Two: Who pays, on how much

Section 4: the charge

Tax is charged every year on the total income of every person. The rate is not in this Act; the Finance Act fixes it each year. **You owe the tax the moment you earn the income;** the assessment only works out the figure. Tax deducted from salary and advance tax are early collection of the same tax.

Section 5: how much is taxed

Resident: world income. **Not ordinarily resident:** Indian income, plus foreign income from a business controlled from India. **Non-resident:** Indian income only. **The closer your link with India, the more India takes.**

Section 6: are you resident?

Count days. Purpose, citizenship and domicile are irrelevant. You are resident if you were in India **182 days or more** this year, or **60 days or more** this year plus **365 days** over the last four years.

Four relaxations to the 60-day test.

1. If you leave India to work abroad or as crew on an Indian ship, only 182 days applies.
2. If you live abroad and come on a visit, 60 becomes 120 days, but only if your Indian income is above Rs 15 lakh. Below that, only 182 days applies.
3. Crew of a foreign bound ship have a special way of counting days.
4. An Indian citizen with Indian income above Rs 15 lakh who is taxed nowhere else is treated as resident, so that nobody is resident of no country at all.

Family, firm or group: resident unless control and management is wholly outside India. **Company:** resident if Indian, or if managed from India. **Not ordinarily resident:** non-resident in 9 of the last 10 years, or in India 729 days or less in the last 7.

Section 7: treated as received

Three amounts are taxed although no money reaches you: the growth in your provident fund, a balance moved into it, and your employer's payment into your pension account. A dividend belongs to the year it is declared, distributed or paid.

Section 9: treated as arising in India

Income earned outside India is still taxed here if it is linked to India: a business connection, property, an asset or source here, or the sale of an Indian capital asset. Also salary earned here, dividend from an Indian company, and interest, royalty or technical fees paid from India.

Section 9(10): foreign shares count as Indian if the Indian assets are worth over Rs 10 crore and are at least half of all assets. **This section matters mainly to non-residents.**

Section 10: couples in Goa

Couples married under the Portuguese Civil Code split every income equally, except salary, which stays with the one who earned it.

Part Three: What is left out

Section 11: exempt income

Income listed in **Schedules II to VI** is left out of total income. Persons listed in **Schedule VII** are not taxed at all. **One is about kinds of income, the other about kinds of people.**

Exempt is not the same as a deduction. Exempt income never comes in. A deduction takes part off after the income has come in.

Examples: a member's share of family income, a partner's share of firm profit, house rent allowance within limits, leave travel concession, and a scholarship.

Sections 12 and 14

Section 12 covers political parties and electoral trusts. **Section 14** says that if income is exempt you cannot claim the cost of earning it, and its losses cannot be set off. **Exemption cuts both ways.**

Part Four: The five boxes

Section 13: heads of income

Salaries; income from house property; profits and gains of business or profession; capital gains; income from other sources.

The boxes do not overlap, and the legal nature of the source decides the box, not the name you give the money. Each box has its own rules and its own deductions, so the wrong box gives the wrong answer.

Part Five: Salary, sections 15 to 19

Section 15: when salary is taxed

On the earlier of becoming due or being paid. Arrears are taxed when paid. Employer includes a past employer. Advance salary is not taxed twice. A partner's pay from his own firm is business income, not salary.

Section 16: what salary means

Wages, pension, gratuity, fees, commission, perquisites, anything in place of salary, advance salary, pay for unused leave, provident fund growth, and pension or Agniveer contributions. The word is includes, so **anything flowing from your job is normally salary whatever it is called.**

Section 17: perquisites

Benefits in kind. Free or cheap housing; benefits to directors and to employees above a set salary; your employer paying a bill you owed, including your tax; life insurance; free or cheap shares; and employer contributions to your funds above a combined **Rs 7,50,000** a year, plus the interest on that excess.

The value is fixed by government rules, not by what you think the benefit is worth. Left out: treatment in an employer, government or approved hospital, health insurance, a vehicle for commuting, and treatment abroad within limits.

Section 18: in place of salary

Compensation for losing your job or for a change in its terms, payments from a fund, keyman insurance, and money received before joining or after leaving.

Section 19: what you can subtract

Only what this section allows. You cannot subtract travel, clothes or anything else you spend to do the job. Two general deductions: employment tax in full, and a **standard deduction of Rs 75,000** where tax is worked out under section 202(1), or **Rs 50,000** otherwise.

The rest are for leaving a job, each with a formula: gratuity, pension taken as a lump sum, retrenchment compensation with a floor of Rs 50,000, voluntary retirement up to Rs 5,00,000 claimable once, and pay for unused leave.

There is no deduction for entertainment allowance in this Act. The old Act had one. House rent allowance and leave travel concession are exemptions under section 11, not deductions here.

Part Six: House property, sections 20 to 25

Section 20: the charge

You are taxed on what the building could earn, not only on what it earned. Three conditions: there is a building or land attached to one; you own it; and you are not using it for your own taxed business. Vacant land alone is not taxed here.

The reason: a man who leaves a lettable house empty, or lets it to a cousin for a token rent, should be no better off than a neighbour who lets it properly.

Section 21: the annual value

Seven rules.

1. Take the **higher** of the rent the property could fetch and the rent you actually got.
2. If it was let and lay vacant part of the year, and that is why the rent fell short, take the actual rent.
3. Subtract the local taxes that **you actually paid** as owner during the year. Paid, not merely due.
4. Rent you could not collect is left out, on conditions.
5. A builder's unsold flat has nil value for two years from the end of the year of the completion certificate.
6. A house you live in, or cannot live in because your job is elsewhere, has nil value.
7. **That nil value is for two houses only.** A third is treated as let out.

Section 22: the deductions

Three only.

1. **Thirty per cent of the annual value**, for repairs and upkeep. You get it whether or not you spent anything, and no more if you spent more.
2. **Interest** on money borrowed for the property, allowed when it becomes due even if unpaid.
3. **Interest for the period before you got the property**, spread over five equal yearly instalments.

For a house you live in, interest is capped at **Rs 2,00,000**, but only if the building was finished within five years from the end of the year you borrowed and you give a certificate from the lender. **If either fails, the cap is Rs 30,000.** Two such houses share the same Rs 2,00,000; it is not per house.

Interest paid abroad is not allowed where tax was not deducted and there is no agent in India.

Sections 23 and 24

Section 23: arrears of rent and rent you had written off but later collected are taxed in the year you receive them, less thirty per cent, even if you have sold the house.

Section 24: where shares are fixed and known, each co-owner is taxed on his own share and not as a group, and each gets the nil value relief on his own.

Section 25: treated as owner

The law taxes you as owner even when the papers are in another name, so that nobody escapes by hiding the title. It covers someone who gives property to a spouse or a minor child for nothing; the holder of an estate that cannot be divided; a society or company allottee under a housing scheme; someone in possession under a part performed sale; and someone with rights under a lease of twelve years or more.

Part Seven: Four more

Sections 178 to 184, the anti-avoidance rule. An arrangement made mainly to save tax, with no real business purpose, can be ignored. Not used where the tax saved is Rs 3 crore or less.

Sections 124 and 125. The notified pension scheme and the Agniveer Corpus Fund, mentioned inside section 16.

Section 202(1). The normal regime. It decides whether your standard deduction is Rs 75,000 or Rs 50,000.

Section 306. The agent in India rule, which matters to section 22(6) on interest paid abroad.